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MercadoLibre (MELI)
Latin America's Flywheel, Below Its Base Case

Analyst: Justin Wen

The region's dominant commerce-fintech flywheel screens as a **Buy** with a $2,982 blended target, 59% above the current price.

BUY	$2,982	+59%	$1,877.90
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

MercadoLibre just printed its first $10 billion quarter while its credit book grew 75% year over year. The market is pricing 17.7% revenue growth; our Base case needs 22%.

The Q2 2026 print: scale first, margins later

Revenue reached $10.169 billion in Q2 2026, up 50% year over year and the first quarter above $10 billion. Gross merchandise volume hit $21.9 billion (up 44%) and total payment volume crossed $100 billion (up 56%), with 89 million unique buyers and 88 million fintech monthly active users. Net income of $466 million and a 6.7% EBIT margin reflect deliberate compression, down about 550 basis points, as the company funds logistics subsidies and a $2.1 billion quarterly investment into its credit book.

$1,877.90	$10.17B	$21.9B	$101B	$16.4B	Oct. 4 2026
REF. PRICE	Q2 2026 REVENUE	Q2 GMV	Q2 TPV	CREDIT BOOK	REF. CLOSE

The moat is the flywheel

Very few companies operate at the intersection of e-commerce and fintech at this scale. Free-shipping thresholds drive hyper-engagement, items per buyer rose 19% in Brazil, and ecosystem users touching both the marketplace and Mercado Pago grew 37%, the fastest-growing segment. Mercado Envios runs a delivery network across fractured Latin American infrastructure that Amazon and Shopee would find enormously capital-intensive to replicate. MELI+ subscriptions surged 72%.

Credit is the margin engine being built

The $16.4 billion credit portfolio is growing 75% a year, with credit cards at $7.7 billion the primary engine. Net interest margin after losses improved to 21%, and 15-to-90-day delinquencies sit at 7.0% overall and 4.6% for cards. The negative 2.5% card NIMAL is a vintage effect of breakneck issuance, not asset deterioration: provisions hit today while interest revenue seasons in later. As the book matures, high-margin credit and advertising rotate the earnings mix upward.

Three scenarios make the valuation range explicit

The DCF compounds ~$35B TTM revenue at 14% to 28.5% through 2030, with EBIT margins ramping from 6.7% to 10% / 14.5% / 18%.

SCENARIO	WEIGHT	2026–30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	14.0%	$67.4B	10.0%	**$1,270**	−32%
Base	50%	22.0%	$94.6B	14.5%	**$2,774**	+48%
Bull	25%	28.5%	$122.6B	18.0%	**$5,110**	+172%

Bear: Competition and credit losses keep growth at 14% and margins stall at 10% as subsidies never roll off.

Base: The flywheel compounds revenue at 22% while credit and ads lift EBIT margins to 14.5%.

Bull: Monetization accelerates to 28.5% growth with 18% EBIT margins as the credit book seasons.

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The probability-blended target implies 59% upside

Blended target: $2,982 per share

A 25% Bear / 50% Base / 25% Bull weighting implies 59% upside from the $1,877.90 reference price. The Base case alone sits 48% above the market.

$2,982
BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a five-year DCF covering 2026–2030. Revenue compounds from the ~$35B TTM base at scenario-specific rates. EBIT margins ramp linearly from 6.7% to 10% / 14.5% / 18% by 2030 as high-margin credit and advertising rotate the mix. Unlevered free cash flow equals NOPAT at a 30% cash tax rate plus net D&A less capex and working capital at 2% of revenue. Terminal value is a Gordon perpetuity on 2030 UFCF at 3% / 4% / 5% growth.

The research this framework builds on used static per-scenario WACCs of 12% / 10.5% / 9.5%. We replace them with the live CAPM rate: the 10-year Treasury near 5.25% plus a 1.31 beta times a 3.63% equity risk premium, about 10.1% for all scenarios. The live hurdle puts the Base target at $2,774 versus the report's $2,475, with assumptions otherwise unchanged. We keep the live market-implied rate rather than normalizing it away.

TTM revenue base	**~$35B**
Valuation horizon	**2026–2030**
Live WACC (Oct. 2026)	**~10.1%**
Terminal growth	**3% / 4% / 5%**
Net debt (Q2 2026)	**$6.4B**
2030 UFCF (Base)	**$11.5B**

The reverse DCF: the market prices less than Base

At $1,877.90, MELI carries a market capitalization near $95B and, with $6.4B of net debt, an implied enterprise value near $101.6B. Holding the base-case EBIT-margin path and the live 10.1% discount rate constant, that enterprise value requires about **17.7% revenue CAGR** over five years, between the Bear case's 14% and the Base case's 22%. The market is underwriting a slowdown; the flywheel has rarely obliged.

Mechanics are explicit

Enterprise value converts to equity value after $6.4B of net debt as of Q2 2026, which funds the credit book's growth. Targets divide by 50.7M live shares outstanding. The 2030 revenue cross-checks read **$67.4B / $94.6B / $122.6B** across Bear / Base / Bull.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield via GOOGLEFINANCE plus beta × equity risk premium: a 1.31 beta and a 3.63% ERP give roughly 10.1% WACC at a 5.25% yield, applied to all scenarios. Terminal growth is 3% / 4% / 5% on 2030 UFCF; the $2,982 headline target applies 25% / 50% / 25% Bear / Base / Bull weights. The reverse DCF holds the base-case margin path fixed. See the Reverse DCF tab in the model workbook.

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The SOTP cross-check: $2,348 per share

The DCF values MercadoLibre as a single cash flow stream. A sum of the parts values Commerce and Fintech separately, which matters because the two segments carry very different margin profiles and growth trajectories and answer to different peer groups. The 2026 consensus revenue forecast is $40.2 billion; historical run rates imply roughly a 57% / 43% split between Commerce and Fintech.

COMPONENT	2026E REVENUE	EV / REVENUE	ENTERPRISE VALUE
Commerce (marketplace & logistics)	$22.9B	2.5x	$57.25B
Fintech (payments & credit)	$17.3B	4.0x	$69.20B
Total enterprise value			**$126.45B**
Plus: cash & equivalents			$6.00B
Less: total debt			($13.17B)
Implied equity value			**$119.28B**
Diluted shares			50.8M
SOTP target per share			**$2,348**

Different segments, different peers

Commerce is capital-intensive but dominant in Latin American e-commerce; the 2.5x multiple tracks high-growth international peers such as Coupang and Sea Limited. Fintech earns structurally higher gross margins and is expanding off-platform; the 4.0x multiple benchmarks high-growth digital wallets and neobanks such as Nu Holdings and Block. Blending the two at a single multiple would underpay the faster-growing, higher-margin segment.

> **What the SOTP tells us:** $2,348 sits about 21% below our $2,982 blended DCF target and 15% below the $2,774 Base case, and near the $2,236 average analyst target for 2026. Two independent methods landing in the same zone strengthens the Buy: the market is underwriting less growth than either framework requires.

Methodology note. Segment revenues are rounded to one decimal ($22.9B / $17.3B) before multiples are applied. Cash, debt and share count are 2026 estimates. Every input is editable on the SOTP tab of the model workbook, with a sensitivity grid across Commerce 1.5–3.5x and Fintech 3.0–5.0x multiples.

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The bear case

Credit risk exposure
The $16.4 billion book is growing 75% a year across Brazil, Mexico and Argentina. A severe regional downturn would spike non-performing loans, and the unseasoned 2025/2026 vintages could deteriorate faster than current 7.0% delinquencies suggest.

Asian competition
Shopee, Temu and AliExpress keep promotional intensity high. Sustained subsidy wars would hold shipping and marketing spend elevated and compress margins longer than modeled.

Argentina volatility
Hyperinflationary pressure and restructuring under Milei squeeze consumer purchasing power directly. Roughly 13% of households borrowing for daily expenses is a fragile base for a lending book.

Brazil rate risk
A prolonged high-rate cycle from Brazil's central bank would shrink disposable income and raise funding costs, pressuring both the consumer and merchant credit books at once.

Margin timing
The entire thesis leans on margins inflecting as credit provisions and logistics investments subside. If peak investment lasts longer, the 14.5% Base EBIT margin slips by years, not quarters.

FX translation
Reporting in dollars while earning across volatile Latin American currencies means headline growth can evaporate on translation even when local-currency fundamentals hold.

The strengths

Commerce-fintech flywheel
Marketplace, logistics and payments reinforce each other at a scale no regional competitor matches; ecosystem users are the fastest-growing segment at 37%.

Logistics moat
Mercado Envios spans fractured infrastructure that international entrants find enormously capital-intensive to replicate, locking in delivery speed as a differentiator.

Credit monetization
A $16.4B book at 21% NIMAL, growing 75%, converts the user base into a high-margin lending franchise as vintages season.

Cash generation
First-half 2026 operating cash flow hit $5.7B; even after $2.1B of quarterly credit-book investment, adjusted FCF turned positive at $214M.

The flywheel is underwritten too cheaply

Investment view: Buy. The $2,982 blended target implies 59% upside, balancing the $1,270 / $2,774 / $5,110 Bear / Base / Bull outcomes, and the market prices growth below our Base case.

Justin Ven

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